derivative that is also accruing variable-rate interest per the Compound protocol. Tokenization therefore unlocks new revenue models for dApps because they can plug asset holdings directly into Compound or use the cToken interface to gain the benefits of Compound's interest rates.

Networked Liquidity

The concept of interoperability extends easily to liquidity in the exchange use case. Traditional exchanges – in particular those that retail investors typically use – cannot readily share liquidity with other exchanges. In DeFi, as a subcomponent of the contract, any exchange application can leverage the liquidity and rates of any other exchange on the same blockchain. This capability allows for networked liquidity and leads to very competitive rates for users within the same application.